

RESEARCH REVIEW

What happens when important news hits the financial markets? Suppose a company reports earnings much higher than expected or announces a big acquisition. Traders and investors rush to digest the information and push stock prices to a level they think is consistent with what they have heard. But do they get it right? Do they react properly to the news they receive? Recent evidence suggests investors make systematic errors in processing new information that may be profitably exploited by others. In a 1997 paper, “A Model of Investor Sentiment,” University of Chicago Graduate School of Business assistant professor of finance Nicholas Barberis and finance professor Robert Vishny, along with former Chicago faculty member Andrei Shleifer of Harvard University, argued that there is evidence that in some cases investors react too little to news and that in other cases they react too much.⁵

Investor Overreaction

In an important paper published in 1985, Werner De Bondt of the University of Wisconsin and Richard Thaler of the University of Chicago Graduate School of Business discovered what they claimed was evidence that investors overreact to news. Analyzing data dating back to 1933, De Bondt and Thaler found that stocks with extremely poor returns over the previous five years subsequently dramatically outperformed stocks with extremely high previous returns, even after making the standard risk adjustments.⁶ Barberis, Vishny, and Shleifer’s work corroborated these findings. Barberis observed:

In other words, if an investor ranks thousands of stocks based on how well they did over the past three to five years, he or she can then make a category for the biggest losers, the stocks that performed badly, and another for the biggest winners. What you will find is that the group of the biggest losers will actually do very well on average over the next few years. So it is a good strategy to buy these previous losers or undervalued stocks.⁷

How might investor overreaction explain these findings? Suppose that a company announces good news over a period of three to five years, such as earnings reports that are consistently above expectations. It is possible that investors overreact to such news and become excessively optimistic about the company’s prospects, pushing its stock price to unnaturally high levels. In the subsequent years, however, investors realize that they were